SUBJECT: companies accounting 3 DATE: / /

## Net income allocation

netincome
- positive (+) → Net profit
- negative (-) → Net loss

*net income allocation:

net income
Rev exp
Cr Dr

closing closing
Rev Cr income summary Dr
income summary Cr exp cr

(profit → Cr, loss → Dr) income summary بنقارن بينهم بال

firs step:

* closing income summary ⇒ profit and loss allocation ده الى هيتوزع كله على الـ partner

profit
income summary xx
profit and loss allocation xx

Loss
profit and loss allocation xx
income sum xx

second step:

1- interest on partener capital → profit / loss
- parteners' salary → profit / loss
- parteners' bonus → profit (بس)

not used in determination of parteners ship net income يعني بنطلع منه دول قبل ما نوزع.

Remaining profit or loss → ده الي هيتوزع

## ⟹ Interest on capital

Capital balanc x Interest rate

beg. balance — end balance — weighted average.

agreement

weighted average ↓ only if the parteners capital changes during the year.

ⓔⓧ

| | capital | عدد الشهور | |
|---|---|---|---|
| 1/1 | 100000 | x 3 | 300000 |
| 1/4 | 140000 | x 3 | 420000 |
| 1/7 | 130000 | x 6 | 780000 |

1500000

÷ 12

125000 → weighted average rate.

عشان أتأكد إني صح لازم يبقي بين ال end, beg.

## ⟹ Salary:

To parteners who devotes time to the partenership business الي اشتغل بس

## ⟹ Bonus:

To the partener to encourage profit maximizing

1- percent of net income. NI x bonus percentage.
2- " net income after interest on capital = (NI - interest) x %
3- " " " " " " " salary = (Net income - Salary) x %
4- " " " " " " " " interest on capital and salary = net income - interest - sal)
5- " " " " " " " " bonus = Net income x $\frac{\text{Bonus percentage}}{100\% + \text{bonus percentage}}$